

2Q26 turns profitable on solid margins; robust optical transceiver orders

Maintain Rating: BUY | PO: 630.00 CNY | Price: 492.12 CNY

2Q26 turns profitable, slightly beat

RoboTechnik reported 1H26 revenue +145% YoY to RMB608mn, implying 2Q26 revenue of RMB445mn, 193% YoY/172% QoQ. 1H26 NPAT turned positive at RMB7mn, implying 2Q26 NPAT of RMB45mn (31% of BofA 2026E NPAT), slightly better than market expectations. 1H26 GPM expanded 13.9ppt YoY to 41.6%, implying 2Q26 GPM improved 9.3ppt YoY/7.3ppt QoQ to 43.6%, mainly driven by a higher revenue contribution from the SiPh equipment business. The earnings beat was mainly due to: 1) solid gross margin improvement; 2) strong revenue growth from order backlog conversion. We will host a post-results group call at 3PM HKT on 26 August, with management to share more details on 1H26 results and the business outlook.

Robust order backlog underpins growth visibility

RoboTechnik’s 1H26 SiPh equipment revenue grew 952% YoY to RMB488mn, accounting for 80% of total revenue, mainly driven by a major US OT client’s order delivery. 1H26 PV equipment revenue declined 54% YoY to RMB83mn, dragged by project delays amid continued capex caution among PV customers. PV equipment’s contribution to total revenue declined to 20% in 1H26 from 46% in 2025, highlighting the company’s successful transition into an optical equipment provider. The company’s order backlog reached RMB3.4bn as of 25 Aug 2026 (vs RMB2.2bn as of 30 Mar 2026), of which SiPh equipment accounted for RMB2.5bn (72% of total portion), mainly driven by growing demand for OT, optical laser, FAU equipment. We believe the robust order backlog provides solid growth visibility for 2026.

Maintain Buy and PO of RMB630

We keep our earnings forecasts unchanged, and maintain our PO of RMB630, based on 35x 2028E PER. We maintain Buy on RoboTechnik, given: 1) a fast-growing OT equipment TAM of 67% CAGR over 2025-28E with surging OT shipments and solid capex among OT makers; 2) RoboTechnik’s role as a key supplier in Nvidia/TSMC’s CPO test insertion 2 and insertion 3 steps; and 3) improving margin and working capital as it transitions from PV to optical equipment.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	64	(66)	144	1,232	3,010
EPS	0.410	(0.410)	0.861	7.35	17.96
EPS Change (YoY)	-41.4%	NM	NM	754.0%	144.3%
Dividend / Share	0.045	0	0.129	1.10	2.69
Free Cash Flow / Share	(2.20)	1.02	(0.119)	0.305	12.16
Valuation (Dec)					
P/E	1,200x	NM	571.65x	66.94x	27.40x
Dividend Yield	0.009%	0%	0.026%	0.224%	0.547%
EV / EBITDA*	NM	NM	353.83x	54.55x	22.96x
Free Cash Flow Yield*	-0.415%	0.200%	-0.024%	0.062%	2.47%

* For full definitions of *IQmethod™* measures, see page 6.

26 August 2026

Equity

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Stock Data

Price	492.12 CNY
Price Objective	630.00 CNY
Date Established	20-Aug-2026
Investment Opinion	C-1-7
52-Week Range	189.21 CNY-714.00 CNY
Mrkt Val / Shares Out (mn)	12,267 USD / 167.6
Market Value (mn)	82,483 CNY
Average Daily Value (mn)	551.12 USD
Free Float	56.3%
BofA Ticker / Exchange	XYICF / SHZ
Bloomberg / Reuters	300757 CH / 300757.SZ
ROE (2026E)	8.3%
Net Dbt to Eqty (Dec-2025A)	61.5%

CPO: co-packaged optics

FAU: fiber array unit

NPAT: net profit attributable to owners of parent

OCS: optical circuit switches

OT: optical transceivers

PV: photo voltaic

SiPh: silicon photonics

TAM: total addressable market

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Refer to important disclosures on page 7 to 9. Analyst Certification on page 4. Price Objective Basis/Risk on page 4.

iQprofileSM RoboTechnik (A)

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(CNY Millions)					
Sales	1,106	950	2,065	5,982	10,226
Gross Profit	318	328	773	2,653	5,004
Sell General & Admin Expense	(93)	(204)	(299)	(538)	(614)
Operating Profit	61	(79)	167	1,454	3,499
Net Interest & Other Income	(1)	8	(8)	(96)	(181)
Associates	NA	NA	NA	NA	NA
Pretax Income	60	(71)	159	1,358	3,318
Tax (expense) / Benefit	3	5	(16)	(136)	(332)
Net Income (Adjusted)	64	(66)	144	1,232	3,010
Average Fully Diluted Shares Outstanding	156	162	168	168	168

Key Cash Flow Statement Data

Net Income	62	(65)	142	1,212	2,962
Depreciation & Amortization	28	55	69	78	140
Change in Working Capital	(480)	118	(119)	(860)	(525)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	72	100	1	10	24
Cash Flow from Operations	(317)	208	94	440	2,600
Capital Expenditure	(25)	(43)	(114)	(389)	(562)
(Acquisition) / Disposal of Investments	(15)	(2)	0	0	0
Other Cash Inflow / (Outflow)	(15)	(629)	0	0	0
Cash Flow from Investing	(55)	(674)	(114)	(389)	(562)
Shares Issue / (Repurchase)	11	363	0	0	0
Cost of Dividends Paid	(50)	(42)	0	(22)	(185)
Cash Flow from Financing	454	433	242	275	165
Free Cash Flow	(342)	165	(20)	51	2,038
Net Debt	722	1,028	1,047	1,018	(835)
Change in Net Debt	409	189	20	(29)	(1,853)

Key Balance Sheet Data

Property, Plant & Equipment	277	348	392	703	1,126
Other Non-Current Assets	516	1,511	1,511	1,511	1,511
Trade Receivables	519	751	991	1,974	2,352
Cash & Equivalents	300	284	507	832	3,036
Other Current Assets	754	748	790	1,336	1,643
Total Assets	2,365	3,642	4,191	6,356	9,667
Long-Term Debt	39	303	545	842	1,192
Other Non-Current Liabilities	0	37	37	37	37
Short-Term Debt	983	1,009	1,009	1,009	1,009
Other Current Liabilities	338	622	786	1,454	1,613
Total Liabilities	1,360	1,971	2,377	3,341	3,850
Total Equity	1,005	1,671	1,814	3,015	5,816
Total Equity & Liabilities	2,365	3,642	4,191	6,356	9,667

iQmethodSM - Bus Performance*

Return On Capital Employed	3.3%	-2.6%	4.7%	31.5%	48.6%
Return On Equity	6.4%	-5.0%	8.3%	51.0%	68.1%
Operating Margin	5.5%	-8.4%	8.1%	24.3%	34.2%
EBITDA Margin	8.1%	-2.6%	11.4%	25.6%	35.6%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	-5.0x	NM	0.6x	0.4x	0.9x
Asset Replacement Ratio	0.9x	0.8x	1.6x	5.0x	4.0x
Tax Rate (Reported)	NM	7.7%	10.0%	10.0%	10.0%
Net Debt-to-Equity Ratio	71.9%	61.5%	57.7%	33.8%	-14.4%
Interest Cover	2.7x	-2.2x	2.7x	9.7x	14.9x

Key Metrics

* For full definitions of iQmethodSM measures, see page 6.

Company Sector

Industrial Machinery

Company Description

Founded in 2011 and listed on the Shenzhen Stock Exchange in 2019, RoboTechnik is a leading supplier of intelligent manufacturing equipment for both optical communication devices and PV cells. Through its acquisition of FiconTEC, RoboTechnik has established a global leadership position in SiPh coupling, assembly, and testing equipment, serving applications across optical transceivers, CPO, NPO, OCS, FAU and other SiPh devices.

Investment Rationale

We have a Buy rating. We expect optical transceivers equipment as the company's near-term profit driver in 2026-2027E with transceivers makers' expanding capacities, while CPO equipment will become the company's longer-term growth driver from 2027 onwards, supported by its leading position and accumulated know-how in high-precision SiPh coupling and CPO testing. We forecast NPAT to turn positive to RMB144mn in 2026E, and rise to RMB1.2bn/3.0bn in 2027/28E, implying a multi-year earnings upcycle.

Stock Data

Price to Book Value

45.4x



Key charts

Exhibit 1: 2Q26 net profit turnaround at RMB45mn

RoboTechnik quarterly financial summary

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Revenue	263	458	295	90	97	152	168	533	164	445
YoY chg	2%	24%	-35%	-82%	-63%	-67%	-43%	494%	69%	193%
Gross profit	62	145	92	19	17	52	57	201	59	194
YoY chg	18%	90%	-19%	-84%	-73%	-64%	-38%	982%	252%	272%
Gross margin	23.4%	31.7%	31.2%	20.7%	17.5%	34.3%	34.2%	37.8%	36.3%	43.6%
Net profit	6	48	17	(7)	(26)	(7)	(41)	8	(39)	45
YoY chg	39%	334%	0%	-116%	-544%	-115%	-344%	NA	NA	NA
Net margin	2.2%	10.6%	5.7%	-8.1%	-27.1%	-4.7%	-24.7%	1.6%	-23.7%	10.2%

Source: Company data, BofA Global Research

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Exhibit 2: 1H26 net profit turnaround at RMB7mn

RoboTechnik half-year financial summary

	1H24	2H24	1H25	2H25	1H26	2H26E
Revenue	721	385	249	701	608	1,457
YoY chg	15%	-59%	-66%	82%	145%	108%
Gross profit	207	111	69	259	253	519
YoY chg	60%	-52%	-67%	133%	267%	101%
Gross margin	28.7%	28.8%	27.8%	36.9%	41.6%	35.6%
Net profit	54	10	(33)	(33)	7	138
YoY chg	253%	-84%	-161%	-443%	NA	NA
Net margin	7.5%	2.5%	-13.4%	-4.7%	1.1%	9.5%

Source: Company data, BofA Global Research

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Price objective basis & risk

RoboTechnik (XYICF)

Our RMB630 price objective is based on 35x 2028E P/E, largely in-line with its optical equipment peers' average 2028E P/E. Our applied 35x PE reflects RoboTechnik's unique position in global AI optical equipment supply chain (especially CPO-related). and is supported by the company's superior growth profile (357% EPS CAGR over 2026-28E), low PEG ratio (0.2x), expanding ROE to 50%+ in 2028E, as well as improving GPM driven by higher ASP with CPO/OCS-related equipment delivery.

Risks are: 1) slower-than-expected adoption and commercialization of CPO and OCS, 2) weaker-than-expected optical transceivers producers' capex cycle, 3) fiercer competition in automated transceivers manufacturing equipment, 4) prolonged weakness in the PV equipment industry.

Analyst Certification

I, Matty Zhao, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
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	AirTAC	ATCXF	1590 TT	Ming Hsun Lee, CFA
	Anhui Yingliu	XANHF	603308 CH	Fiona Liang
	Ayala Corporation	AYYLF	AC PM	Russ Toribio
	Centre Testing International	XCTEF	300012 CH	Yikai Liu, CFA
	Daifuku	DAIUF	6383 JP	Kenjin Hotta
	Daikin Industries	DKILF	6367 JP	Kenjin Hotta
	Daikin Industries	DKILY	DKILY US	Kenjin Hotta
	Envicool	XPTIF	002837 CH	Yibing Xia
	GeekPlus	BGTCF	2590 HK	Summer Wang, CFA
	Goldwind	XJNGF	2208 HK	Gary Tsang
	GTCAP	GTHOF	GTCAP PM	Russ Toribio
	Guangdong Songfa	XDZGF	603268 CH	Amy Han
	Hainan Jinpan	XKZNF	688676 CH	Matty Zhao
	Hangcha Group	XXCLF	603298 CH	Summer Wang, CFA
	Hangzhou Great Star	XNZLF	002444 CH	Fiona Liang
	Hankuk Carbon	HKUCF	017960 KS	KJ Hwang
	Han's Laser	XHQTF	002008 CH	Summer Wang, CFA
	Hanwha Aerospace	SSASF	012450 KS	KJ Hwang
	HD Hyundai Electric	XPELF	267260 KS	Sun Jung Lee
	HD Hyundai Heavy Industries	XHZXF	329180 KS	KJ Hwang
	Himile	XMSVF	002595 CH	Fiona Liang
	Hiwin Technologies	HITEF	2049 TT	Ming Hsun Lee, CFA
	Huaming Equipment	XKTIF	002270 CH	Matty Zhao
	IHI	IHICF	7013 JP	Kenjin Hotta
	Inovance Technology	XMYRF	300124 CH	Ming Hsun Lee, CFA
	Jiangsu Hengli Hydraulic Co., Ltd	XHDCF	601100 CH	Ming Hsun Lee, CFA
	Kawasaki Heavy Industries	KWHIF	7012 JP	Kenjin Hotta
	Keyence	KYCCF	6861 JP	Kenjin Hotta
	Korea Aerospace	XAQHF	047810 KS	KJ Hwang
	LIG Defense & Aerospace	XLQUF	079550 KS	KJ Hwang
	LS Electric	LGXSF	010120 KS	Sun Jung Lee
	Makita	MKEWF	6586 JP	Kenjin Hotta
	Mingyang Smart Energy	XLARF	601615 CH	Charlotte Xia
	Mitsubishi Heavy Industries	MHVYF	7011 JP	Kenjin Hotta
	Mitsui E&S	MIESF	7003 JP	Yuri Nishizaki
	MNC Solution	XZXRF	484870 KS	Dongho Shin



APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Nabtesco	NCTKF	6268 JP	Kenjin Hotta
	Namura Shipbuilding	NMRSF	7014 JP	Yuri Nishizaki
	NARI Technology	XLODF	600406 CH	Matty Zhao
	OMRON Corporation	OMRNF	6645 JP	Kenjin Hotta
	OMRON Corporation	OMRNY	OMRNY US	Kenjin Hotta
	RoboTechnik	XVYCF	300757 CH	Matty Zhao
	Samsung Heavy Industries	SMSHF	010140 KS	KJ Hwang
	Sany Heavy Industry Co., Ltd	SHVYF	600031 CH	Ming Hsun Lee, CFA
	Sany Heavy Industry Co., Ltd	XHEVF	6031 HK	Ming Hsun Lee, CFA
	Sany International	SNYYF	631 HK	Summer Wang, CFA
	SATS Limited	SPASF	SATS SP	Nathan Gee, CFA
	Shenling	XSRLF	301018 CH	Yibing Xia
	Shenzhen Megmeet	XMLXF	002851 CH	Yikai Liu, CFA
	Sieyuan Electric	XUJKF	002028 CH	Matty Zhao
	Sinexcel	XSBEF	300693 CH	Summer Wang, CFA
	Sinotruk Hong Kong Ltd	SHKLF	3808 HK	Fiona Liang
	SM Investments Corporation	SVTMF	SM PM	Russ Toribio
	SMC	SMECF	6273 JP	Kenjin Hotta
	SMC	SMCAY	SMCAY US	Kenjin Hotta
	ST Engineering	SGGKF	STE SP	Jessie Lo
	Suzhou Maxwell Technologies	XSMTF	300751 CH	Gary Tsang
	TGOOD	XQGDF	300001 CH	Yikai Liu, CFA
	THK	THKLF	6481 JP	Kenjin Hotta
	UBTECH	UBTRF	9880 HK	Ming Hsun Lee, CFA
	Weichai Power Co. Ltd	WEICF	2338 HK	Fiona Liang
	Weichai Power Co. Ltd	XWPEF	000338 CH	Fiona Liang
	XCMG Construction Machinery Co Ltd	XVPZF	000425 CH	Ming Hsun Lee, CFA
	XJ Electric	XJECF	000400 CH	Matty Zhao
	Yangzijiang Shipbuilding	YSHLF	YZJSGD SP	Amy Han
	Yaskawa Electric	YASKF	6506 JP	Kenjin Hotta
	Yuchai International	CYD	CYD US	Fiona Liang
	Zhejiang Supcon Technology	XDXFF	688777 CH	Yikai Liu, CFA
	Zoomlion Heavy Industry	XLRYF	000157 CH	Ming Hsun Lee, CFA
	Zoomlion Heavy Industry	ZLIOF	1157 HK	Ming Hsun Lee, CFA
NEUTRAL				
	Anhui Heli	AHUHF	600761 CH	Summer Wang, CFA
	D&L Industries, Inc.	DALQF	DNL PM	Philip Albert Felix
	Dongguan Yiheda Automation	XDQGF	301029 CH	Yikai Liu, CFA
	Fanuc	FANUF	6954 JP	Kenjin Hotta
	Fanuc	FANUY	FANUY US	Kenjin Hotta
	Kubota Corp	KUBTF	6326 JP	Kenjin Hotta
	Kubota Corp	KUBTY	KUBTY US	Kenjin Hotta
	Neway Valve	XNNVF	603699 CH	Summer Wang, CFA
	Zhuzhou CRRC Times Electric	ZHUZF	3898 HK	Yikai Liu, CFA
	Zhuzhou CRRC Times Electric	XWCTF	688187 CH	Yikai Liu, CFA
UNDERPERFORM				
	Alliance Global Group, Inc.	ALGGF	AGI PM	Russ Toribio
	CKD	CKDOF	6407 JP	Kenjin Hotta
	ESTUN Automation	XNJNF	002747 CH	Ming Hsun Lee, CFA
	ESTUN Automation	XZMTF	2715 HK	Ming Hsun Lee, CFA
	Goldwind	XJGWF	002202 CH	Gary Tsang
	Hitachi CM	HTCMF	6305 JP	Kenjin Hotta
	Hongfa Technology	XQXAF	600885 CH	Fiona Liang
	Komatsu	KMTUF	6301 JP	Kenjin Hotta
	Komatsu	KMTUY	KMTUY US	Kenjin Hotta
	L.K. Technology	XBQXF	558 HK	Joey Yang, CFA
	Leader Harmonious Drive Systems	XLHNF	688017 CH	Yikai Liu, CFA
	LT Group, Inc.	LTGIF	LTG PM	Philip Albert Felix
	OPT Machine Vision	XOTVF	688686 CH	Yikai Liu, CFA
	SCG Packaging PCL	XAFLF	SCGP TB	Komsun Suksumrun
	Shanghai Bochu Electronic	XWUTF	688188 CH	Fiona Liang
	Shenzhen SC New Energy	XENYF	300724 CH	Yikai Liu, CFA
	SK Bend	SUKWF	014620 KS	KJ Hwang



APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

EV / EBITDA

Basic EBIT + Depreciation + Amortization

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RoboTechnik (XYICF) Price Chart



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Equity Investment Rating Distribution: Machinery/Diversified Manufacturing Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	39	59.09%	Buy	18	46.15%
Hold	12	18.18%	Hold	9	75.00%
Sell	15	22.73%	Sell	9	60.00%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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